JOMD

ECN 214 QUESTIONS

1 Who defined economics as a practical science.. ...

A. Lionel Robbins

B. Sam Aluko

C. J. S. Mill +++

D. A. C. Pigou

2. Which of the following was his definition adopted by a dictionary?

A. Lionel Robbins

B. Sam Aluko

C. J. S. Mill +++

D. A. C. Pigou

3. Who defined economics as the queen of social science?

A. Lionel Robbins

B. Sam Aluko

C. Paul A. Samuelson +++

D. A. C. Pigou

4. Who considered economics to be the study of mankind in ordinary business life.

A. Lionel Robbins

B. Sam Aluko

C. Alfred Marshal +++

D. A. C. Pigou

5. Which of the following gave the more generally acceptable modern definition of economics?

A. Lionel Robbins +++

B. Sam Aluko

C. J. S. Mill

D. Alfred Marshal

6. Who defined economics as a science, which studies human behaviour as a relationship between ends and scarce means, which have alternative uses.

A. Lionel Robbins +++

B. Sam Aluko

C. Alfred Marshal

D. A. C. Pigou

7. ....Scarcity ..... refers to the limited nature of the supply of resources or means in relationship to the demand for them to satisfy wants.

8. .... is/are the fundamental economics problem of an individual, firm and the society generally.

A. Scarcity

B. Want

C. Choice

D. Scarcity and choice +++

9. A socialist economy is also known as the following except

A. Communist economy

B. Centralised economy

C. Free enterprise economy +++

D. Command economy

E. None of the above

10. ....Economic system. is an arrangement defining how resources are owned, and how production, distribution and consumption are organized and controlled in a society.

11 A capitalist economy is otherwise known as the following except :

A. Free-enterprise economy

B. Laissez-faire

C. Free market economy

D. None of the above +++

12. Which of the following is not a function of an economic system.

A. Allocation of resources, Organisation of production and distribution of goods and services

B. Economic growth and development

C. Economic stability

D. B and C

E. None of the above +++

13. ....Price system/price mechanism.......... is the process by which the monetary value of a commodity service or factor of production is determined by the interplay of the forces of supply and demand, Adam Smith called it the ....invisible hand............ .

14. ....Demand schedule .... is a table showing the quantity of a product that would be purchased at each of the possible prices.

15. ....Demand curve .... is a graphical illustration of (14.) .

16. .... refers to the quantity of a commodity which a single consumer would be willing and able to purchase at the various possible price

A. Market demand

B. Individual demand +++

C. Personal demand

D. None of the above

17. .... is the sum of the various quantities that would be purchased by all the consumers of the product at each alternative price.

A. Market demand +++

B. Individual demand

C. Personal demand

D. None of the above

18. Which of the following clearly defines the increase in demand for cheap basic foodstuffs when their prices rise.

A. Goods of ostentations

B. Webl en goods

C. Cheap goods

D. Giffen goods +++

19. In economics, goods of ostentation are also called

A. Goods of ostentations

B. Webl en goods +++

C. Cheap goods

D. Giffen goods

20. Which of the following is not a case where one may obtain exceptional demand curve

A. Inferior goods

B. Goods of ostentation

C. Fear of future rise in price

D. None of the above +++

21 ......Supply ...... is the amount of a particular commodity the producer is able and willing to offer for sale over a specific time period.

22. Who likened the forces of demand and supply to " two blades of scissors "

A. Lionel Robbins

B. Sam Aluko

C. Alfred Marshal +++

D. A. C. Pigou

23. The equilibrium price or the market price is the price at which the quantity demanded is equal to the quantity supplied. True or false

24. Utility is the power or property of a commodity to satisfy human desire. True or False

25. .... is the degree of responsiveness of demand in response to change in price, taste and income or other determinant under reference.

A. Price elasticity of demand

B. Elasticity of demand +++

C. Income elasticity of demand

D. Point elasticity of demand

26. .... is defined as the degree of responsiveness of demand for a commodity to the changes in its price.

A. Price elasticity of demand +++

B. Elasticity of demand

C. Income elasticity of demand

D. Point elasticity of demand

27. .... is the percentage in quantity demanded of a commodity as a result of percentage change in its price over a specific period of time.

A. Price elasticity of demand

B. Elasticity of demand +++

C. Income elasticity of demand

D. Point elasticity of demand

28. The general formula for calculating coefficient of elasticity is $\Delta Q/\Delta p \times Po/Qo$. True or False

29. The two main approach used in measuring the price elasticity of demand are arc elasticity approach and ....

A. Price elasticity of demand

B. Elasticity

C. Income elasticity

D. Point elasticity +++

30. .... measures the elasticity at a particular point along the demand curve.

A. Arc elasticity

B. Elasticity of demand

C. Arch elasticity

D. Point elasticity +++

31 Which of the following is used when the changes in price are small or infinitesimal.

A. Arc elasticity +++

B. Elasticity of demand

C. Arch elasticity

D. Point elasticity

32. $-\Delta Q/\Delta p \times P/Q$, the formula is used for calculating which of the following:

A. Arc elasticity

B. Elasticity of demand

C. Arch elasticity

D. Point elasticity

$$Ep = \frac{\delta Q}{\delta P} \quad \frac{P2 + p1}{02 + Q1}$$

33. Which of the following measures the coefficient of price elasticity between two points.

A. Arc elasticity +++

B. Elasticity of demand

C. Arch elasticity

D. Point elasticity

34.

The formula above is used in calculating

A. Arc elasticity +++

B. Elasticity of demand

C. Arch elasticity

D. Point elasticity

35. Calculate the price elasticity between points C and E as follows

Px	Qx	Point
5	130	C
4	200	D
3	300	E

$$Ey = \frac{\delta Q}{\delta P} \cdot \frac{y2 + y1}{Q1 + Q2}$$

36. .... is the degree of responsiveness of demand in response to a change in income.

A. Price elasticity of demand

B. Elasticity of demand

C. Income elasticity of demand +++

D. Point elasticity of demand

37. Normal goods are goods whose quantity demand increase as income increases. True or False

38. If the coefficient of the income elasticity for a good is greater than unity, the good is considered as ....

39. On the other hand, if the coefficient is less than unity, the good is considered as ....Necessity ....

40.

Period	Income y (N 1year)	Quantity (x) (units 1years) 1
1	300	10
2	500	20

3	700	30
4	900	40

Calculate the income elasticity from period 2 to 3 using the formula above.

41 .... is defined as the responsiveness of quantity demand of commodity A in relation to the price of another commodity B.

A. Price elasticity of demand

B. Cross Elasticity+++

C. Income elasticity of demand

D. Point elasticity of demand

42. The creation of utility in economic is known as ....

A. Production +++

B. Economic activities

C. Quality

D. None of the above

43. Anyone who in anyway increases utility is a ....

A. Supplier

B. Bargainer

C. Producer +++

D. Consumer

44. Which form of capital does not change its form in the production process.

A. Circulating capital

B. Personal capital

C. Fixed capital +++

D. Private capital

45. Which form of capital completely changes its form in the production process.

A. Circulating capital +++

B. Personal capital

C. Fixed capital

D. Private capital

46. Which of the following is the wealth inherent in the individual.

A. Circulating capital

B. Personal capital +++

C. Fixed capital

D. Private capital

47. Which of the following is not a factor that affects capital formation.

A. Savings

B. Population growth

C. Government policy

D. None of the above +++

48. ....Money .... is the means of valuation and payment in a system.

49. Which of the following is not among the historical development of money.

A. Commodity money

B. Token coins

C. Metallic money

D. Bank notes

E. Token money

50. The issue of bank notes backed by government securities is refer to as

A. Security issue

B. Economy issue

C. Fiduciary issue

D. Scarcity issue

51 The notes and coins issued by the central bank of a country constitutes the .... for that Country.

52. ......Legal tender ..... is any means of payment that a debtor can legally compel his creditor to accept.

53. Which of the following is not among the motives for holding money

A. Business motive +++

B. Transaction motive

C. Precautionary motive

D. Speculative motive

54. Two extreme situations in which changes in the level of price greatly affects the value of money are known as .... and ....

55. ....Liquidity ... is used to signify the ease with which an asset can be converted as its full value into money.

56. .....Rate of interest .... is the reward for parting with (55.)

57. A .... has been legally defined as any form of institution doing a bonafide banking business.

A. Bank

B. Microfinance bank

C. Commercial bank +++

D. Mortgage bank

58. .... can also be defined as a dealer in in money and credit.

A. Bank

B. Microfinance bank

C. Commercial bank +++

D. Mortgage bank

59. The main objective of any (commercial) bank is ....profit making ......

60. All the following are function of commercial banks except;

A. Discounting bills of exchange

B. Agents of payment

C. Agent of government

D. None of the above +++

61 ....Central Bank ... is generally recognised as an institution, which is the apex of the monetary and banking structure of a country.

62. .... is essentially a market that facilitate the borrowing and lending of short-term funds.

A. Short term marketing

B. Money market +++

C. Capital market

D. Short term money funds

63. .... is essentially a market that facilitate the borrowing and lending of both medium and long-term loans and investment.

A. Long term marketing

B. Money market

C. Capital market +++

D. Long term money funds

64. ....Trade ... simply means buying and selling of goods and services.

65. Who propounded the theory of absolute advantage

A. Lionel Robbins

B. Adam Smith +++

C. Alfred Marshal

D. David Richardo

66. Which of the following used the concept of comparative advantage to explain his theory.

A. Lionel Robbins

B. Adam Smith

C. Alfred Marshal

D. David Richardo +++

67. The relation between the prices of a nations exports and prices of its import is refer to as the nation's ....Term of trade ....

68. ....Balance of payment ... is a country statement of income and expenditure on international trade for a year.

69. .....Exchange rate .... is invariably used to refer to the price of one currency in terms of another.

70. The best known standard under which (69.) is fixed is;

A. Money standard

B. Currency standard

C. Gold standard +++

D. All of the above

71 ....Fiscal policy ... is essentially the deliberate use of government taxation, expenditure and borrowing instruments to influence the level of economic activities in the country.

72. ....Fiscal policy ...... is the core of public finance.

73. The main source of government revenue is ....Taxation .....

74. The following are sources of government revenue except;

A. Grants

B. Profits

C. Rent, royalties, profit

D. None of the above +++

75. ....Tax ... may be defined as a compulsory contribution to the public authority (government) to meet its expenses and for the provision of general benefit.

76. ....Direct taxes... and .....Indirect taxes...... are the two main types of (75.)

77. Indirect taxes are

A. Progressive

B. Regressive +++

C. Proportional

D. None of the above

78. A tax levied equally on everybody usually per adult male irrespective of a person's income, expenditure or even wealth is called

A. A value added tax

B. Ad valorem tax

C. Poll tax +++

D. Specific tax

79. Which of the following is a fixed sum that is imposed on a commodity (especially an imported one) irrespective of it value.

A. A value added tax

B. Ad valorem tax

C. Poll tax

D. Specific tax +++

80. A tax levied on the gain received as a result of the sale of capital assets such as stock and shares is called

A. A value added tax

B. Ad valorem tax +++

C. Poll tax

D. Specific tax

81 A tax which is imposing on a commodity at each stage of its production or distribution is called

A. A value added tax +++

B. Ad valorem tax

C. Poll tax

D. Specific tax

82. Which of the following is not among the systems of taxation;

A. Progressive

B. Regressive

C. Incidence +++

D. Proportional

83. ....indirect taxes . are taxes placed on goods and services.

84. ....Indirect taxes ..... are taxes paid only when goods and services are both.

85. ....Direct ..... taxes are paid on the basis of one's income wealth.

86. ....Incidence of taxation ...... simply means the final resting place of a tax burden.

A. Progressive taxation

B. Regressive taxation

C. Incidence of taxation +++

D. Proportional taxation

87. Which of the following compels all tax payers 'rich or poor ' to surrender the same percentage of their incomes in tax payment.

A. Progressive taxation

B. Regressive taxation

C. Incidence of taxation

D. Proportional taxation +++

88. Which of the following is so graduated that its rate rises accordingly as the income of the tax payer increase;

A. Progressive taxation +++

B. Regressive taxation

C. Incidence of taxation

D. Proportional taxation

89. A ....Budget ..... is a financial statement of government on the estimates of revenue and expenditure for a fiscal year.

90. When government incurs expenditure on major projects such as building of an airport, hospital, roads or a university, such expenditure is referred to as ......Capital expenditure ..... expenditure.

91 ....Public debt ..... is the total borrowing by the government or public authority at home and overseas.

92. (91) may be grouped into ....Internal . and ....external .....

93. ....External debt refers to unpaid portion of external resources acquired for development purpose and balance of payment support, which could not be repaid when they fell due.

94. Which of the following is not a type of (93.);

A. Productive and unproductive debt

B. Loans for socio-economic needs

C. Marketable and non-marketable debts

D. None of the options +++

E. Funded and unfunded debts

95. Which of the following is not a source of internal debt

A. Merchant bank

B. Commercial bank

C. Central Bank of Nigeria

D. Non-Bank Public

E. None of the above +++

96. Which of the following is/are instruments used for procuring domestic debt

A. Treasury bills

B. Treasury certificates

C. Government development stock

D. Revenue bonds

E. A, B, C, D+++

97.

Possible Question for Test and Exam to the Basic Principle of Economics

Pmt 210

Balance of trade is the difference between ______________________

An economy in which both the public and private sectors contribute substantially to the growth is ____________Mixed economy ___________

The economic goal of public utility is to _________________________

The two type independence decisions facing a typical monopolist are ________ and ________

The perfect competitive may reap abnormal profit in the short run but will not last due to ______________

The determination of the ruling price in a prefect competitive market is by _____________

The main purpose of studying economics is to solve the problem of _________Scarcity _________

The branch of economics that focuses on the individual consumers and firm is known as ____________Microeconomics ___

An organized way by which a state or nation allocates its resources, goods and services is known as ___Economic system______________

The demand curve shows a _________________downward _________sloping

A shift in demand curve is caused by a increase in demand _______________________

What is the motive of holding money in avails peoples the opportunity to meet unforeseeb circumstances ___________Precautionary motive _______

The point which the quantity demanded is equal to quantity supplied is called _____Equilibrium price _______

Money as a means of payment originated as a result of the problem encountered by ____________________

The three fundamental concept in economics are ________, ______________and ___________

When you make choice, the benefit of the next forgone are known as ______opportunity cost ________________

_________J. S mill ___________ defines economics as the practical science of production and distribution of wealth.

The basic problem of economic is _______,__________,___________and _____________

Calculate the quantity demanded at price 5 using the function Qd=10-(2/3)P

When price elasticity is less than one, it is said to be _________________

A type of capital that completely changes its form in the production process is called ___________--

At commodity 1 the total cost is 40, at commodity 2 the total cost is 70, find the marginal utility

____

The type of demand in which the use of one deserves other is said to be_______________

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